

[Policy Statement](#)

[Applicability](#)

[Exclusions/Exceptions](#)

[A. Accounting Guidance](#)

[B. Paper Gift Certificates](#)

[C. Electronic Gift Cards](#)

[D. Complimentary Letters or Certificates](#)

[Definitions](#)

POLICY NUMBER: FP-OPSFIN-133

Gift Certificates

This policy includes guidelines for controls surrounding all forms of gift certificates.

POLICY STATEMENT

This policy outlines the general procedures that must be in place surrounding gift certificates, electronic gift cards, and complimentary vouchers / letters.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. ACCOUNTING GUIDANCE

- 1) All gift certificates purchased at the Hotel require a form of payment other than room charge.
- 2) When local gift certificates (i.e., not Hilton Amex program) are purchased at the Hotel, the purchase amount must be credited in the gift certificate liability account on the Hotel's balance sheet.
- 3) When the certificates are redeemed, the appropriate revenue account must be credited and the gift certificate liability account must be debited.
- 4) When the certificates expire, the gift certificate liability account must be debited for the remaining amount and appropriate miscellaneous revenue account must be credited.
- 5) If local law on the subject of expiration dates and escheatment practices provides alternate direction or contradicts this policy, then local law must be followed. An exception is not required, but the applicable guidelines must be followed by the Finance Leader.

B. PAPER GIFT CERTIFICATES

- 1) All paper gift certificates are required to be pre-printed and sequentially numbered. At a minimum, the following must be printed on the paper gift certificate:
 - a. The certificates have no cash value (i.e., they can only be exchanged for goods and services at the Hotel and cannot be redeemed for cash).
 - b. Expiration date (unless prohibited by local law)
- 2) The inventory of certificates must be kept in a secured location.
- 3) The certificates must be printed in a manner which would make it difficult to reproduce.
- 4) If local escheatment laws (i.e., unclaimed property regulations) apply to the Hotel's region, the name and address of the purchaser must be maintained on file.
- 5) A form or log must be maintained when issuing the certificates to Team Members for sale to customers. This must be signed by both the Team Member receiving the gift certificates and the Team Member issuing the gift certificates (typically Finance or Operations Leadership). The form or log must list the certificates issued by number and it must be dated. Once the certificates are issued to a Team Member for sale to customers, the Team Member must store them in a secure location until sold.
- 6) At the time of redemption, the certificate must be stamped or defaced by the Team Member receiving the certificate, to prevent it from being used again.
- 7) Finance must reconcile the system values (i.e., PMS, POS, etc.) to the redeemed certificates.

GIFT CERTIFICATES

- 8) Finance must count and reconcile all issued certificates monthly. Hotels may at their discretion issue certificates as part of a Team Member's house funds. If this is done, then the certificates must be treated as cash and will be included in the monthly surprise house fund count.

C. ELECTRONIC GIFT CARDS

- 1) The stock of electronic gift cards must be maintained in a secure location at the Hotel.
- 2) The Hotel must maintain a local standard operating procedure around who will be permitted to maintain, load, and sell the electronic gift cards.
- 3) At the time of redemption, the Team Member must confirm no balance remains on the card. If a balance remains, the gift card must be given back to the customer.
- 4) As part of the income audit process, gift card system activity must be balanced back to the general ledger. Any variances between the gift card tracking system and the PMS or POS must be investigated and resolved immediately.

D. COMPLIMENTARY LETTERS OR CERTIFICATES

- 1) The Operations Leader must sign all complimentary letters or certificates and they must be produced in a manner which would make it difficult to replicate.
- 2) At a minimum, the following conditions must be printed on the complimentary letter or certificate:
 - a. The certificates have no cash value (i.e., they can only be exchanged for goods and services at the Hotel and cannot be redeemed for cash).
 - b. Expiration date
 - c. Unique number if in the form of a certificate or card (not necessarily applicable to letters)
- 3) The Operations Leader must designate a Team Member (typically the executive admin), to control the distribution of all complimentary letters or certificates.
- 4) A copy of the letter or certificate must be maintained on file once issued. A log must also be maintained detailing whether or not the letters or certificates are active or expired.
- 5) Once the letter or certificate is redeemed at the Hotel, it must be immediately stamped or defaced by the Team Member receiving the letter or certificate to prevent reuse. The Team Member must turn in all redeemed letters or certificates with their daily drop.
- 6) Finance must reconcile the issued letters or certificates to returned or redeemed letters or certificates and ensure appropriate accounting. Rooms must be redeemed as complimentary in PMS, and any other goods or services must be recorded at cost. The value of complimentary letters and certificates must not be recorded on the Balance Sheet as a liability.

DEFINITIONS

TERM/ACRONYM	DEFINITION
Finance Leader	Ranking Accounting / Finance representative for the property (i.e. DOF, Controller, or Finance Manager).
Operations Leader	Ranking Operations representative for the property (i.e. General Manager, Hotel Director, or Operations Manager).